

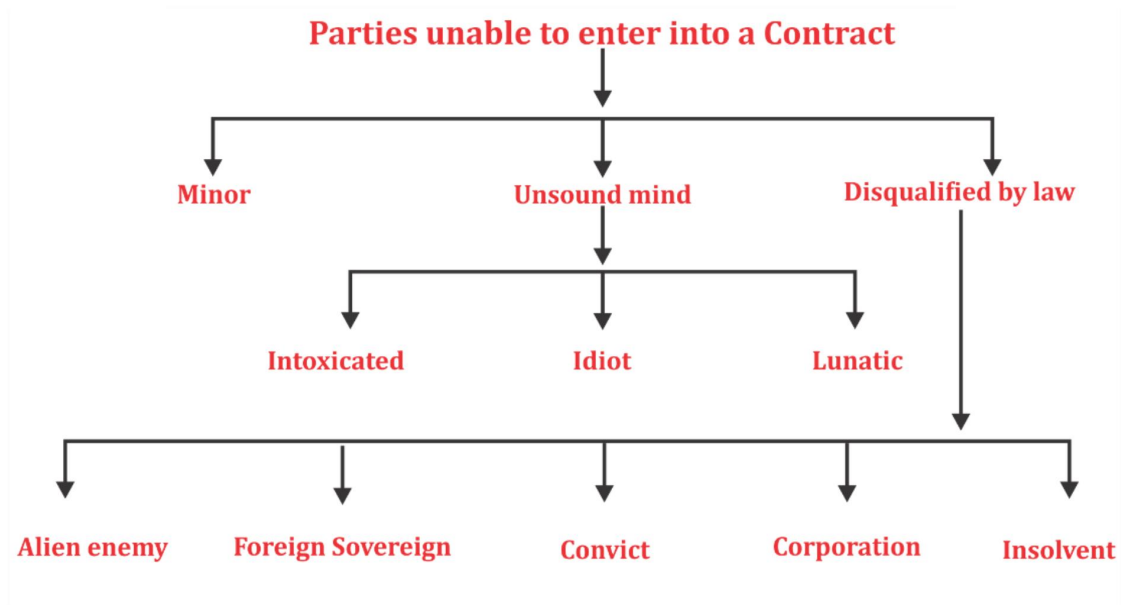
CHAPTER - 6

CAPACITY OF PARTIES

According to section 11 of the Indian Contract Act, 1872, Every person is competent to contract who is of the age of majority according to the law to which he is subject, and who is of sound mind and is not

disqualified from contracting by any law to which he is subject.

From the above definition it can be inferred as follows:



Now, we shall discuss each of them in detail.

AGREEMENTS BY MINOR:

1. An agreement with a minor is void-ab-initio i.e., void from the very beginning. Hence no specific performance can be enforced for such contracts.

Please Note: Fraudulent representation by a minor makes no difference in the status of agreement. The contract remains void.

Case Law: Mohoribibee v. Dharmodas Ghose

Facts in brief: Mr. D, a minor, mortgaged his house for Rs.20000 to a money – lender, but the mortgagee, i.e., the money – lender, paid him a sum of Rs.8000. Subsequently, the minor sued for setting aside the mortgage

Held: The contract was void, as Mr. D was minor and therefore, he is not liable to pay anything to the lender.

2. No restitution except in certain cases

A minor cannot be asked to return the benefit received under a void agreement but court can, in certain cases, require the minor to make compensation to the other party.

The object of doctrine of restoration is to restore back the ill-gotten gains taken by the minor. Money cannot be restored, but goods can be restored. Because we cannot recognize the money, but we recognize the goods.

3. Minor as a partner

A minor with the consent of all the partners, be admitted to the benefits of an existing partnership.

4. Minor as a trade union member

Any person who has attained the age of fifteen years may be a member for registered trade union, provided the rules of the trade union allow so. Such a member will enjoy all the rights of a member.

5. No Ratification on attaining the age of majority

Ratification means the subsequent adoption and acceptance of an act or agreement minor's agreement. A minor's agreement being a nullity and void ab-initio has no existence in the eye of law. The minor on attaining the age of majority, for cannot ratify it, an agreement void ab-initio cannot be made valid by subsequent ratification.

Thus, if an advance is made to a minor during his minority, a promise to pay for such amount after he attains majority would not be enforceable.

Case Law: In Suraj Narain v. Sukhu Ahir

Facts in brief: A minor borrowed a sum of money by executing a promissory note, and after attaining majority executed a second bond in respect of the original loan.

Held: A suit upon the second bond was not maintainable as that bond was without consideration. Since ratification relates back to the date when the contract was originally made, it is necessary for a valid ratification that the person who purports to ratify must be competent to contract at the time of the contract.

6. Minor's Liability in tort

A minor is liable for a tort, i.e., civil wrong committed by him.

Illustration: Ankur, a 16 years old boy drives a car carelessly and injures Bnkur. He is liable for the accident i.e., tort.

7. Guarantee for and by minor

A contract of guarantee in favour of a minor is valid. However, a minor cannot be a surety in a contract of guarantee. This is because, the surety is ultimately liable under a contract of guarantee whereas a minor can never be held personally liable.

8. Position of Minor's parent

Minor's parent/guardians are not liable to a minor's creditor for the breach of contract by the minor.

9. Minor as an agent

A minor can act as an agent but not personally liable. But he cannot be principal.

10. Minor as a shareholder

A minor cannot become shareholder of the company except when the shares are fully paid up and transfer by share.

EXCEPTIONS

1. Contract for the benefit of a minor.

2. Contract by Guardian

Benefit of a minor by his guardian or manager of his estate

- Within the scope of the authority of the guardian.
- Is for the benefit of the minor.

3. Contract for supply of Necessaries.

Illustration: Food, clothes, bed, shelter, shoes, medicines and similar other things required for the maintenance of his life or for the life of his dependents, expenses for instruction in grade or arts; expenses for moral religions or intellectual education, funeral expenses of his deceased family members, marriage expenses of a dependent female member in the family; expenses incurred in the protection of his property or personal liberty, Diwali pooja expenses, etc. have been held by courts to be necessities of life. However, the things like earrings for a male, spectacles for a blind person or a wild animal cannot be considered as necessities

Please Note: A minor can enter into contract of apprenticeship, or for training or instruction in a special art, education, etc.

A PERSON OF UNSOUND MIND

Section 12 of the Indian Contract Act, 1872, states what is a sound mind for the purposes of contracting. It states that a person is said to be of sound mind for the purpose of making a contract, if, at the time when he makes it, he is capable of understanding it and of forming a rational judgment as to its effect upon his interests.

A person who is usually of unsound mind, but occasionally of sound mind, may make a contract when he is of sound mind.

A person who is usually of sound mind, but occasionally of unsound mind, may not make a contract when he is of unsound mind.

Illustration: A patient in a lunatic asylum, who is at intervals of sound mind, may contract during those intervals.

A sane man, who is delirious from fever or who is so drunk that he cannot understand the terms of a contract, or form a rational judgment as to its effect on

his interests, cannot contract whilst such delirium or drunkenness lasts.

UNSOUNDNESS OF MIND MAY ARISE FROM:

Idiocy:

It occurs in a person by birth. His incapacity is permanent and therefore he can never understand contract and make a rational judgment as to its effects upon his interest. Consequently, the agreement of an idiot is absolutely void ab initio. He is not personally liable even for the payment of necessities of life supplied to him.

Delirious persons:

A person delirious from fever is also not capable of understanding the nature and implications of an agreement. Therefore, he cannot enter into a contract so long as delirium lasts.

Hypnotized persons:

Hypnotism produces temporary incapacity till a person is under the effect of artificial induced sleep.

Mental decay:

There may be mental decay or senile mind due to old age or poor health. When such person is not capable of understanding the contract and its effect upon his interest, he cannot enter into contract.

Lunacy:

It is not permanent. A lunatic can enter into contract during lucid intervals i.e., during period when he is of sound mind.

PERSON DISQUALIFIED BY LAW**1. Body corporate/ company/ Corporation**

Contractual capacity of company is determined by object clause of its memorandum of association. Any act done in excess of power given is ultra – virus and hence void.

2. Alien enemy

An 'alien' is a person who is a foreigner to the land. He may be either an 'alien friend' or an 'alien enemy. If the sovereign or state of the alien is at peace with the country of his stay, he is an alien friend. An if a war is declared between the two countries he is termed as an alien enemy.

Contract cannot be entered into with alien enemy except with the permission of central government.

3. Convict

A convict can't enter into a contract while he is undergoing imprisonment. After the imprisonment is over, he becomes capable of entering into contract. Thus, the incapacity is only during the period of sentence.

4. Insolvent

When any person is declared as an insolvent, his property vests in receiver and therefore, he can't enter into contract relating to his property. He becomes capable to enter into contract when he is discharged by court.

5. Foreign sovereigns, and diplomats

Foreign sovereigns, ambassadors, and representative of foreign staff can enter into valid contract. However, a suit cannot be filed against them, in the Indian courts without the prior sanction of the central Government